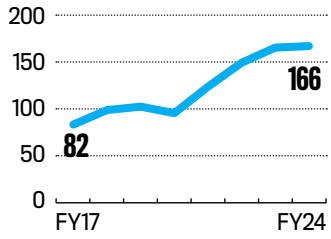
LEAP FORWARD

Monthly average GST collection yearwise (Rs '000 crore)



Source: Ministry of Finance

& vehicle purchase etc. as well as zero rating GST on export of goods and services. Similarly, there is no consensus on merging taxes levied on petroleum products (crude, petrol, diesel, ATF & natural gas). GST is categorised into different tax slabs—5 per cent, 12 per cent, 18 per cent and 28 per cent. These slabs need to be harmonised for simplification of the process.

The idea of a nationwide GST was first proposed by the Vijay Kelkar Task Force on indirect taxes in 2000. The objective was to replace the prevailing complex tax structure with a unified system. The Constitution Amendment Bill was introduced in 2011, but faced challenges regarding compensation to states and other issues. The Constitution (122nd Amendment) Bill, 2014 aimed to amend the Constitution to enable the implementation of GST. It was decided that a GST cess will be levied so that "loss"-making states can be compensated. Parliament passed it in August 2016. The GST Council with the Union finance minister and representatives from states was formed to make decisions about GST, including tax rates and exemptions. It played a crucial role in shaping the GST framework in India. ■

-Anilesh S. Mahajan

linked incentive or PLI scheme in 2020 and expanded it to 14 sectors with an outlay of Rs 1.97 lakh crore. The aim was to create manufacturing champions and generate over six million jobs over five years. But critics like ex-RBI governor Raghuram Rajan say the scheme has only lavished subsidies on manufacturing firms and there is no guarantee these companies will stay the course once the subsidies dry up. Rajan argues that the money could be better spent in boosting the services sector, which now contributes to over 55 per cent of India's GDP and has emerged as the highest employment generator averaging 7 per cent year-on-year growth. In FY23, exports of services set a new record of $322 billion with a compound annual growth rate of 26.7 per cent compared to FY22. Tourism, for instance, has tremendous potential for growth, but the key lies in investing in skilling and training people to meet the demand.

Agriculture has been a blight on the government's record, as is manufacturing. Exports have perked up, but are still way below potential

More than anything, it's the government's record on unemployment and inflation that is under the greatest public scrutiny, given that we are in an election year. The ruling BJP claims that unemployment rates are down from 5.8 per cent in 2018-19 to 3.2 per cent in 2022-23 while labour force participation rate has increased from 50.2 per cent in 2018-19 to 57.9 per cent in 2022-23. Experts dismiss this as a convenient fig leaf to hide the naked truth that the real growth is among the self-employed, which is a factor of underemployment. Only 20 per cent of India's work force is engaged in formal jobs. Finance minister Sitharaman in an interview with INDIA TODAY says solid employment data is hard to come by, which makes any conclusion difficult but does point to the growth of start-ups, the increasing offtake of MUDRA loans by small entrepreneurs, the growth of new green energy sectors and the big investments in infrastructure projects to say that massive numbers of jobs are being generated (*see interview*).

per cent for FY20, FY21 and FY22, respectively. Similarly, the share of MSME-specified products in India's total exports has seen a steady decline—from 49.4 per cent in FY21 to 45 per cent in FY22 and 43.6 per cent in FY23. Among their list of demands, FISME wants the government to remove impediments, such as certain regulations, to allow the sector to grow.

The stress is challenging to pinpoint, partly due to the absence of precise data on its size. As per the MSME Annual Report 2022-23, India has over 63 million MSMEs, based on the NSSO (National Sample Survey Office) data collated in 2015-16. However, the MSME definition underwent significant changes in 2020 and then again in 2021.

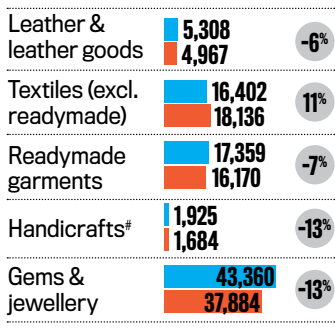
Economist and senior professor M.H. Bala Subrahmanya at the Indian Institute of Science, Bengaluru, argues: as the sector undergoes modernisation and new enterprises emerge led by the transformation of rural areas into urban ones, having updated data is crucial to crafting effective policies to stimulate growth.

Without this piece of the puzzle, the contribution of MSMEs to India's growth narrative will remain elusive. ■

-Sonal Khetarpal

A SAD STATE

Exports from MSMEs have mostly declined since FY17



(#excluding handmade carpets)

**Source: CMIE Economic Outlook*